

Amazon.com, Inc.
AMZN NASDAQ

Buy	\$258.51 ▼ 0.15%	12M Price Target \$305.00	52-Week Range \$196.00 – \$287.20	Market Cap \$2.79T
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AMZN: Steady at \$258, Sanders AI Bill is Noise Not Threat

WHAT HAPPENED

- Basically nothing happened — stock closed down 0.15% at \$258.51, which is just noise. The more interesting signal is options flow: near-term calls are outpacing puts more than 2-to-1, and there are some seriously unusual bets on \$240-\$247 calls expiring this month (one strike traded 281x its open interest). That's someone with conviction betting on upside in the next 2-3 weeks.
- The Sanders "ban superintelligence" headline got picked up but this is political theater — Sanders doesn't have the votes and even if he did, the bill wouldn't touch current AWS/Bedrock operations.

WHY IT MATTERS

The setup here is quietly bullish. You've got insiders selling (Herrington, Zapolsky) but those look like scheduled 10b5-1 sales, not panic — meanwhile institutional ownership is 68.8% and options desks are loading up on near-dated calls. That divergence usually resolves in favor of the smart money flow, not the insider optics. The bigger picture: we're at 69% of the 52-week range with the stock consolidating in the mid-\$250s after a strong run — this is the kind of base that breaks upward when a catalyst hits (next AWS growth print, holiday retail read, or any softening in the FTC case).

POLICY & POLITICAL WATCH

Three things on my radar: (1) The FTC antitrust case is grinding through courts — the remedy phase is where this gets real, and any hint of forced divestiture of AWS or the ad business would hit the stock hard, but recent judicial trends have favored narrower remedies. (2) Sanders' AI moratorium proposal is noise but reflects a broader Washington mood — expect more AI safety hearings, which paradoxically favors Amazon because compliance costs are a moat against smaller rivals. (3) Tariff policy under the current administration remains the sneaky headwind — Amazon's third-party sellers source heavily from China, and any tariff escalation squeezes GMV growth and marketplace fees.

IS IT EXPENSIVE?

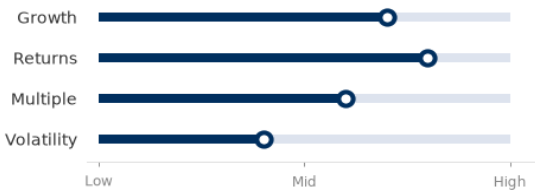
At ~\$2.79T market cap and roughly 37x forward earnings, you're paying \$37 for every \$1 of next year's profit — that's a premium to Walmart (~32x) and roughly in line with Costco. The Motley Fool piece today asks why AMZN trades at a discount to those two on some metrics, and the honest answer is retail margins are still thinner and AWS capex is enormous right now. But if AWS operating margins stay above 35% and retail keeps expanding, this multiple is defensible — the stock isn't cheap, but it's not crazy either.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$258.51
12M Price Target	\$305.00
Upside / (Downside)	+18.0%
Market Cap	\$2.79T
FY2026E Revenue	\$715M
FY2027E Revenue	\$790M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	37.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$275.00	\$262.00	\$245.00
6 Months	\$310.00	\$285.00	\$235.00
1 Year	\$340.00	\$305.00	\$220.00
2 Years	\$400.00	\$350.00	\$210.00
5 Years	\$550.00	\$450.00	\$250.00
10 Years	\$900.00	\$650.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+0.70% today, +0.86% week) is the clear leader — AI infrastructure spend is real money hitting real income statements, and that's a direct tailwind for AWS.

COOLING OFF: Real Estate (-0.72%) and Financials (-0.79%) — rate expectations shifting again, and commercial real estate keeps getting punished. Materials weak too, which signals soft global demand.

ROTATION WATCH: Money is rotating out of rate-sensitive sectors (REITs, financials) and into growth tech. That's classic "soft landing" positioning and it's a direct positive for mega-cap tech like AMZN.

RELATED PLAY: If you believe the AI capex story, the picks-and-shovels names benefit too — think NVDA on chips, or data center REITs like EQIX and DLR that lease space to the hyperscalers.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Also in the Sanders crosshairs but similarly insulated — Azure AI revenue is the real story and it's compounding
- WMT (Walmart): Trading at a premium to AMZN on some metrics because their retail margins are cleaner and ad business is exploding

AMZN CONTEXT: AMZN is roughly in line with mega-cap tech peers — not leading, not lagging. That's actually fine here; the setup is a coiled spring waiting for a catalyst (earnings, holiday numbers, or an FTC resolution) rather than a stock that needs to prove itself day-to-day.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — high conviction on the 12-month view; the AI infrastructure buildout is real and Amazon is one of three companies that actually matter in cloud.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade. You can size up because volatility is moderate for a mega-cap.

ENTRY POINTS: Current levels are fine but I'd rather add on pullbacks to \$248-255 — the stock has bounced off that zone twice recently.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is Q4 earnings (AWS growth rate + holiday retail read) and clarity on the FTC remedy phase.

WHEN TO BAIL: If AWS growth drops below 15% YoY, or if the court accepts a structural remedy in the FTC case, or if the stock breaks \$220 on volume — that's a real technical breakdown.

HEDGING: Simplest hedge is buying downside insurance — puts at the \$230 strike expiring 6 months out. Costs a little, but protects you if the FTC drops a bomb or the AI trade unwinds hard.